

Risk-off Regime Thesis & Framework – June 2026

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²ABSTRACT

This report presents a short-term bearish, risk-off market outlook for June 2026. The thesis is driven by elevated AI and technology valuations, fading expectations for near-term Federal Reserve rate cuts due to persistent inflation and strong labor data, and escalating U.S.-Iran tensions that continue to pressure energy prices. Together, these factors create downside risk for equities and increase market uncertainty. A more bullish outlook would require easing inflation, greater confidence in rate cuts, reduced geopolitical tensions, lower energy prices, and broader market participation beyond the AI sector.

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² *The ONLY portion in text generated/used help of Artificial Intelligence.*

Current Positioning

Stance

In the short term I'm positioning myself as **Bearish** within the current market.

Reasoning

Technology & The AI "Bubble" –

When AI companies first arose, the titling of a “bubble” was mere speculation. But companies like Broadcom and ³SMCI are creating crevices that demand attention. Broadcom fell 22% after slightly missing revenue expectations. The same happened to SMCI, falling 20%, but SMCI also announced it was raising capital and increasing shares, which is a dilution risk to investors. The basis for such a selloff is unreasonable. This shows high expectations among investors, and if you can't meet them you're met with a selloff. For this reason, I expect future selloffs within the tech sector as companies fail to meet high expectations.

Rate Hike Expectations –

Investors price in potential rate hikes as summer rate cuts fade ahead of recent labor strength and inflation worries. NFP Employment grew to 172,000, strongly beating its 85,000 projection. While data may seem positive, the market reaction differs. As investors we're ready to price in summer interest rate cuts, positive labor data restricts the federal funds rate from being cut since rate cuts are needed in a weak labor environment. Additionally, inflation persists as recent ⁴CPI data shows heating with headline CPI surging 4.2% YoY & 0.6% MoM.

US/Iran War Escalation –

Escalation continues as Iranian media claims IRGC fired warning missiles and drones against U.S Destroyers in Oman, Iran continues to conflict with shipping, the US responds with targeted strikes on their radar and drone sites. Iran attacks US helicopter, Trump states the US will be responding. Most importantly, the Strait of Hormuz continues to stay closed. These conflicts, and more, affected WTI prices and inflation (As seen in CPI data). Higher energy prices continue to add onto inflation worries. Diplomatic talks are still going on, but nothing major arises.

³ Note: Position was placed prior to SMCI earnings.

⁴ Note: Position was placed prior to CPI data.

⁵Conditions to Consider Repositioning

1. MOU deal
2. Strait of Hormuz opening
3. US/Iran tensions ease
4. Rate Cuts Become More Certain
5. Inflation eases
6. Less severe reactions to earnings misses
7. Valuations become more reasonable
8. Energy prices decline
9. Less concentration on AI/Semiconductor sectors, more broad participation

⁵ *Not all criteria has to be met for regime change*